26STCV11113 26STCV11113

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Case Number: 26STCV11113 Hearing Date: August 6, 2026 Dept: 508

Superior

Court of California

County of Los Angeles

Department

508

DEBORAH BUHAJ, individually and on behalf

of aggrieved employees pursuant to the Private Attorneys General Act,

Plaintiff,

vs.

CHARLIE HEALTH, INC., et al.,

Defendants.

Case

No.:

26STCV11113

Hearing Date:

August 6, 2026

Hearing Time:

10:00 a.m.

[TENTATIVE] ORDER RE:

DEFENDANTS CHARLIE HEALTH, INC. AND CH MH SERVICES (CA), LLC'S MOTION TO COMPEL ARBITRATION AND TO STAY PROCEEDINGS

Background

On January 8, 2026, Plaintiff Ana Lilia Islas ("Plaintiff") filed this action against Defendants Charlie Health, Inc. and CH MH Services (CA) LLC (jointly, "Defendants"), alleging two causes of action for (1) failure to reimburse necessary business expenses (Labor Code §§ 2802, 2804) and (2) civil penalties under the Private Attorneys General Act.

Defendants move to compel arbitration. Plaintiff opposes. Defendants replied.

Legal Standard

Code of Civil Procedure, section 1281 provides that "[a] written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract."

"California law, like federal law, favors enforcement of valid arbitration agreements." ((Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 97.)
The Federal Arbitration Act (FAA) and the California Arbitration Act (CAA) are liberal policies that create a presumption in favor of arbitration agreements, requiring that any doubts or ambiguities of an arbitration clause's scope to be resolved in favor of arbitration. ((Cronus Investments, Inc. v. Concierge Services (2005) 35 Cal.4th 376, 384-386); ((Baker v. Osborne Development Corp. (2008) 159 Cal.App.4th 884, 892 (Baker).) This strong public policy compels courts to liberally

construe the terms of arbitration agreements. (Vianna
v. Doctors' Management Co.¿(1994) 27 Cal.App.4th 1186, 1189).

The general rule is that the
FAA governs all agreements to arbitrate in contracts "involving interstate
commerce." ((Higgins v. Superior Court (2006) 140 Cal.App.4th 1238, 1247.)
The term "involving" commerce "is broad and is indeed the functional equivalent
of 'affecting'" commerce. ((Allied-Bruce Terminix
Cos. v. Dobson (1995) 513 U.S.
265, 273-274.) However, even when the FAA governs the interpretation
of arbitration clauses, California law will govern whether an arbitration
agreement was formed in the first instance. (Baker,
supra, at 893.)

To compel arbitration of a
plaintiff's claims, a defendant must first allege the existence of an agreement
to arbitrate. ((Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 219.) The
burden then shifts to the plaintiff to prove the falsity of the agreement. ((Ibid.)
After the Court determines that an agreement to arbitrate exists, it then
considers objections to its enforceability. ((Ibid.) If a valid agreement is found, "the court
shall order the petitioner and the respondent to arbitrate." ((Code Civ. Proc., § 1281.2.)

To determine the
enforceability of an arbitration agreement, generally applicable state law
contract defenses, such as fraud, duress, unconscionability, and public policy,
apply. (Baker, supra, at p. 893.) "[A]
party opposing the petition bears the burden of proving by a preponderance of
the evidence any fact necessary to its defense." ((Banner
Entertainment, Inc. v. Superior Court (1998) 62 Cal.App.4th 348, 356 (Banner).) The Court
must grant a petition to compel arbitration unless the moving party waived its
right to compel arbitration or grounds exist for rescission of the agreement. (Code Civ. Proc. § 1281.2.) The court acts as the
"trier of fact, weighing all the affidavits, declarations, and other
documentary evidence … to reach a final determination on the issue of
arbitrability." (Banner, supra, at p. 356-357.)

Discussion

A.
Existence of an Enforceable Arbitration
Agreement

Defendants contend that an enforceable arbitration agreement exists with Plaintiff. Plaintiff does not appear to dispute that she signed the agreement.

Parties may be compelled to arbitrate a dispute if the court finds that (1) there is “an enforceable arbitration agreement between the parties,” and (2) the agreement covers the claims in the parties’ dispute.¿(Omar v. Ralphs Grocery Co. (2004)¿118 Cal.App.4th 955, 961.) A party seeking to compel arbitration may meet their initial burden by simply alleging “the existence of an agreement and support[ing] the allegation” by attaching a copy of the agreement or its relevant provisions. (Condee v. Longwood Mgmt. Corp. (2001) 88 Cal.App.4th 215, 219.) “In determining whether an arbitration agreement applies to a specific dispute, the court may examine only the agreement itself and the complaint filed by the party refusing arbitration [citation]. The court should attempt to give effect to the parties’ intentions, in light of the usual and ordinary meaning of the contractual language and the¿circumstances under which the agreement was made.”¿(Weeks v. Crow¿(1980) 113 Cal.App.3d 350, 353.) “To determine whether a contractual arbitration clause requires arbitration of a particular controversy, the controversy is first identified and the issue is whether that controversy is within the scope of the contractual arbitration clause.”¿(Titolo¿v. Cano¿(2007) 157 Cal.App.4th 310, 316.) The court should order parties to arbitrate, even if there are doubts, unless the clause clearly cannot be interpreted to cover the dispute.¿(California Correctional Peace Officers¿Assn.¿v. State¿(2006) 142 Cal.App.4th 198, 205.)

Here, Defendants provide a copy of the employment offer signed by Plaintiff. (Fanning Decl., ¶ 10, Ex. B, § 10.) The arbitration agreement provides, inter alia, that

To the fullest extent permitted by law, you and the Company agree to submit to mandatory binding arbitration, pursuant to and governed by the Federal Arbitration Act (the ‘FAA’), any and all claims that (a) you may have against the Company and its directors, officers, owners, employees, agents, successors and assigns, and (b) the Company may have against you, arising out of or related to your employment with the Company and the termination thereof, including ,but not limited to, claims for unpaid wages, wrongful termination, torts, stock or stock options or other ownership interest in the Company, discrimination, harassment and/or retaliation based upon any federal, state or local ordinance, statute, regulation or constitutional provision, and individual claims under the California Private Attorneys General Act (California Labor Code Section 2698, et seq.) ('PAGA') (collectively, 'Arbitrable Claims'). Further, to the fullest extent permitted by law, you and the Company agree that no class or collective actions can be asserted in arbitration, court or any other forum. All claims must be brought solely in your or the Company's individual capacity, and not as a plaintiff or class member in any purported class or collective proceeding.

(Ibid.) By attaching the original agreement, with signatures, Defendants satisfied their initial burden of showing the existence of an agreement to arbitrate. Additionally, Plaintiff's causes of action are asserted against Defendants and arise out of her employment. Thus, the arbitration agreement covers the dispute at issue.

In her opposition, Plaintiff does not deny that she signed the arbitration agreement.

Accordingly, an agreement exists and it covers the dispute at issue.

B. Procedural Unconscionably

In Armendariz, our Supreme Court stated that when determining whether an arbitration agreement was unconscionable, there is both a procedural and a substantive element, which operate on a sliding scale. (Armendariz v. Foundation Health Psychcare Service, Inc. (2000) 24 Cal.4th 82, 114 (Armendariz)). Courts determine whether an agreement is procedurally unconscionable by looking at surprise, oppression, and adhesion. Adhesion is a standardized contract, presented by a sophisticated party on a take-it-or-leave-it basis, without term negotiation. (Armendariz, supra, at p. 113). Oppression is an "inequality of bargaining power, when one party has no real power to negotiate or a meaningful choice," and often takes the form of adhesion. (Carmona v. Lincoln Millennium Car Wash, Inc.¿(2014) 226 Cal.App.4th 74, 84 (Carmona).) To establish oppression, the court considers, inter alia, (1) the amount of time the party is given to review; (2) the amount and type of pressure exerted on the party to sign the contract; (3) the length and complexity of the contract and the challenged provision; (4) the party's education and experience; and (5) whether the party was aided by an attorney in reviewing. ((OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 126-127.) "Surprise occurs when the allegedly unconscionable provision is hidden." (Carmona, supra, at p. 84.)

Plaintiff asserts that adhesion is met because "the Arbitration Provision is found within a preprinted form Offer Letter document, drafted by Defendants, transmitted through an automated DocuSign workflow that offered Plaintiff exactly two options: sign, or forgo the job. Defendants concede that signing the Arbitration Provision was a condition of employment. Fanning Decl., ¶ 6 ('which are required to be signed to begin employment.') Defendants' evidence confirms the imbalance in bargaining power." (Opp., 3:28-4:4.)

Plaintiff also asserts oppression is present because "Charlie Health, Inc. is a multi-state behavioral healthcare company, and Plaintiff is a clinician, not a lawyer. Defendants embedded Section 10 in a twenty-seven-page DocuSign packet; it spans two pages of single-spaced text and repeatedly invokes the FAA, unspecified JAMS rules, and the interplay between federal and California law. The timing here heightened the oppression. Buhaj Decl., ¶¶ 2-15. Defendants sent the packet at 8:15 p.m., outside business hours when no Human Resources representative or attorney was available." (Opp., 4:21-27.)

Plaintiff contends surprise is present because "the jury-trial waiver was not presented as a standalone agreement requiring a separate signature and a separate decision. It was Section 10 of fourteen sections in an employment Offer Letter, sandwiched between immigration paperwork (Section 9) and background-check consent (Section 11), and covered by the same single signature that accepted the salary, the start date, the at-will terms, the outside-activities restriction, and the tax provisions." (Opp., 5:11-16.)

Plaintiff also asserts the failure to include the JAMS rules adds to procedural unconscionability. Specifically, "Section 10 delegates the arbitral machinery (discovery, fees, remedies, and procedure) to 'the JAMS employment arbitration rules then in effect,' supplying only a hyperlink and an offer to furnish a hardcopy on request. Fanning Decl., ¶ 10, Exh. B, p. 4. Preliminarily, Defendants' failure to attach the incorporated rules supports a finding of procedural unconscionability… But the defect here is aggravated by the phrase 'then in effect.' At the moment of contracting, Plaintiff could not know what rules would govern, because the operative rules were whatever JAMS might promulgate at some unspecified future date." (Opp., 6:2-9.)

Defendants assert that "Plaintiff fails to provide any evidence to establish that she was lied to, placed under any duress, or manipulated into signing the Agreement. Rather, Plaintiff was asked to sign a number of employment-related onboarding documents which included the Agreement as part of accepting the offer of employment, as is typical with many employers." (Reply, 2:21-24.) Defendants contend that "Plaintiff was provided with the Arbitration Agreement as part of her preemployment Offer Letter via email, i.e., she was not forced to change the conditions of her existing employment by waiving her right to bring a matter in court, pressured to quickly sign the agreement while a company representative waited while standing over her, nor lied to about the terms of the agreement." (Reply, 3:10-13.) Further, "Charlie Health provided Plaintiff with time to review and consider the terms of the Arbitration Agreement prior to her accepting the job offer. Indeed, the Offer Letter containing the Arbitration Agreement is dated April 11, 2025, and was emailed to Plaintiff on that date, requesting a response by April 16, 2025. See Fanning Decl., Ex. B. Thus, Plaintiff had five days to review and consider whether to sign the Arbitration Agreement." (Reply, 3:14-18.)

Defendants also disclaim surprise because "[t]he Offer Letter that contains the Agreement has that provision in bolded language as Section 10 of the five-page letter. See Fanning Decl., Ex. B. Section 10 also states, in capital letters: 'SUBJECT TO THE ABOVE, THE PARTIES HEREBY WAIVE ANY RIGHTS THEY MAY HAVE TO TRIAL BY JURY IN REGARD TO ARBITRABLE CLAIMS.' Id. Additionally, there was a separate reference to the arbitration provision immediately above the Offer Letter's signature block." (Reply, 3:20-24.) The offer letter also stated, "[s]hould you have anything else that you wish to discuss, please do not hesitate to call me," and Eugenie Fanning's name was signed directly below. (Fanning Decl., Ex. B, § 14.)
Defendants contend that "[t]hus, Plaintiff had ample opportunity to research what the provision meant, seek assistance, or ask questions of Charlie Health if she so desired, prior to the time of actually signing the Agreement." (Reply 4:1-2.)
"Plaintiff's contention that the Arbitration Agreement should not be enforced because she did not adequately read the Offer Letter, is unfamiliar with arbitration, or that she failed to seek counsel, is not supported by law."

(Reply, 4:20-22.)

Lastly, Defendants refute Plaintiff's assertion that failure to attach a copy of the JAMS Employment Arbitration Rules renders the agreement procedurally unconscionable because "the Agreement provides a hyperlink to the JAMS rules so that they could be accessed and reviewed online by Plaintiff" and "Plaintiff's argument that she could not have known which JAMS rules were 'then in effect' does not make any sense because she would be able to access whichever rules were in effect at the time by accessing the hyperlink." (Reply, 4:25-28.)

Adhesion may be present based on the unequal bargaining power between the parties and the standardized form contract; however, Plaintiff does not state that Defendants were unwilling to negotiate, or that Plaintiff contacted Defendants to discuss the arbitration agreement. Moreover, for oppression, Plaintiff does not adequately demonstrate that Defendants placed pressure on her or that she was given inadequate time to review. As Defendants point out, Plaintiff had five days to review the documents. Additionally, the link to the JAMS rules created an added barrier to accessing the relevant information, including any changes to the rules that might occur in the future however, this barrier is minimal. Plaintiff could easily click on the link to view the JAMS rules in effect at that time, since Plaintiff viewed the agreement electronically. Thus, some procedural unconscionability is present, but Plaintiff must demonstrate a strong showing of substantive unconscionability.

C. Substantive Unconscionably

"¿Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided. A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be so one-sided as to shock the conscience.¿" (¿¿Carmona v. Lincoln Millennium Car Wash, Inc., supra, 226 Cal.App.4th at p. 85 [internal quotation and citation omitted]¿¿.) "Given the disadvantages that may exist for plaintiffs arbitrating disputes, it is unfairly one-sided for an employer with superior bargaining power to impose arbitration on the employee as plaintiff but not to accept such limitations when it seeks to prosecute a claim against the employee." (Armendariz, supra, 24 Cal.4th at

p. 117.)

As a preliminary matter, Plaintiff contends that the arbitration agreement must be read in connection with EIPIA. Plaintiff contends that "[o]n April 11, 2025, at 8:15:59 p.m., Charlie Health, Inc. sent Plaintiff a DocuSign 'Envelope' containing twenty-seven pages of documents including an Offer Letter." (Opp., 1:21-22.) Plaintiff asserts that "[t]he same Envelope contained the EIPIA, which Plaintiff was required to sign 'as a condition of employment.' Id., Exh. B, § 4. The Arbitration Provision expressly excludes from arbitration all claims arising under the EIPIA." (Opp., 1:25-27.) Plaintiff cites the arbitration provision, which provides, inter alia, that:

Notwithstanding anything to the contrary, however, the terms of this 'Arbitration and Class and Collective Action Waiver' section shall not apply to any claims or disputes arising under your Employee Inventions and Proprietary Information Agreement with the Company, all of which shall be subject to the applicable dispute resolution, choice of law and choice of forum provisions contained in such Employee Inventions and Proprietary Information Agreement.

(Fanning Decl., Ex. B, § 10.)
Plaintiff points to Civil Code section 1642, which states that "[s]everal contracts relating to the same matters, between the same parties, and made as parts of substantially one transaction, are to be taken together." Plaintiff asserts that "[e]ach element is satisfied, and indeed undisputed on this record. Section 10 and the EIPIA are both between Plaintiff and Charlie Health, Inc. Both documents were transmitted in a single DocuSign Envelope (ID 8B8CD9E0-F471-4848-8875-81364BB78CE4) as part of Plaintiff's hiring. Fanning Decl. ¶ 9. Both govern the resolution of disputes between Plaintiff and Charlie Health, Inc." (Opp., 2:24-27.) Plaintiff contends "[t]he documents are also expressly linked. Section 10 directs the reader to the EIPIA's 'dispute resolution, choice of law and choice of forum provisions' and makes those provisions controlling for the excluded claims." (Opp., 3:3-5.)

Plaintiff also asserts that "the Offer Letter's integration clause (Section 12) [does not] preclude joint construction. The Offer Letter does not disclaim the EIPIA; it requires it. Section 4 conditions employment on Plaintiff signing the EIPIA, and Section 10 expressly adopts ('shall be subject to') the EIPIA's 'dispute resolution, choice of law and choice of

forum provisions.' Fanning Decl., ¶ 10, Exh. B, §§ 4, 10. Defendants cannot invoke an integration clause to disclaim a document their own Offer Letter incorporates by reference. The documents' differing dispute-resolution provision also do not preclude joint construction. Section 10 establishes the general rule of arbitration, while the EIPIA creates an exception for specified claims. Reading the documents together does not merge them into one contract; it construes them in tandem to determine the Parties' overall dispute-resolution framework."
(Opp., 3:10-18.)

Plaintiff cites Silva v. Cross Country Healthcare, Inc. (2025) 111 Cal.App.5th 1311, 1323 (Silva), when discussing the execution of two contracts for employment, the court expressed that the "recent decision in Alberto, supra, 91 Cal.App.5th 482, 308 Cal.Rptr.3d 230, is directly on point[:]

In that case, the plaintiff signed two contracts as part of the hiring process—namely, (1) an arbitration agreement, and (2) a confidentiality agreement. The arbitration agreement specified that '[a]ny and all claims or controversies arising out of [the employee's] employment' would 'be resolved through final and binding arbitration.' (Alberto, at p. 486, 308 Cal.Rptr.3d 230.) The confidentiality agreement obligated the employee to keep secret the employer's 'trade secrets,' to 'acknowledge' that unauthorized disclosure 'would cause irreparable injury' to the employer, and to 'consent to the order of an immediate injunction, without bond, from any court of competent jurisdiction.' (Id. at p. 487, 308 Cal.Rptr.3d 230.) Invoking section 1642, the appellate court in Alberto had 'no difficulty concluding' that the two agreements 'should be read together' because 'both [were] separate aspects of a single primary transaction—[the employee's] hiring' and 'both governed, ultimately, the same issue—how to resolve disputes arising between [the employee] and [the employer] arising from ... employment.' (Id. at pp. 490-491, 308 Cal.Rptr.3d 230.) 'Failing to read them together,' the court in Alberto continued, 'artificially segments the parties' contractual relationship' and 'fails to account for the overall dispute resolution process the parties agreed upon.' (Id. at p. 491, 308 Cal.Rptr.3d 230.)"

Silva's discussion of Alberto demonstrates that the EIPIA should be read in conjunction with the arbitration agreement.

The Silva court also expressed two key features of substantive unconscionability. “The first feature of unconscionability is the imbalance between which claims Cross Country Staffing must arbitrate and which claims its employees must arbitrate… It is well settled that an arbitration agreement is unfairly one-sided [if] it compels arbitration of the claims more likely to be brought by an employee, the weaker party, but exempts from arbitration the types of claims that are more likely to be brought by an employer, the stronger party.” (Id. at p. 1328 [internal quotations omitted].) “The second feature of unconscionability is the employee’s contractually mandated concessions in the Employment Agreement (without similar concessions in the employees’ favor) that the confidentiality, non-compete and non-solicitation covenants are lawful, that any breach of those covenants ‘will cause irreparable harm’ to Cross Country Staffing (thereby justifying injunctive relief), that Cross Country Staffing (but not the employee) is ‘entitled to temporary, preliminary and permanent injunctive relief,’ and that Cross Country Staffing need not post a bond to obtain any such relief. Similar terms have been repeatedly found to be substantively unconscionable.” (Id. at p. 1329.)

Plaintiff asserts that “[t]he EIPIA reserves a judicial forum and extraordinary relief for Charlie Health, Inc. alone. It requires all EIPIA-related actions to be brought in court, permits Charlie Health, Inc. to seek injunctive relief and specific performance, and compels Plaintiff to concede, in advance, irreparable harm, inadequate legal remedies, entitlement to an injunction, and waiver of bond. Fanning Decl., Exh. B, EIPIA §§ 4(b)(iii), 8. Plaintiff receives none of these rights or concessions.” (Opp., 2:5-9.) Specifically, the provision of EIPIA states the following:

I acknowledge that my violation or attempted violation of the agreements in this Section 4 will cause irreparable damage to the Company or its Affiliates, and I therefore agree that the Company shall be entitled as a matter of right to an injunction out of any court of competent jurisdiction, restraining any violation or further violation of such agreements by me or others acting on my behalf. The Company's right to injunctive relief shall be cumulative and in addition to any other remedies provided by law or equity.

(Fanning Decl., Ex. B, EIPIA §

4, subd. (b)(iii).) Another portion of the EIPIA states the following:

Any dispute
in the meaning, effect or validity of this Agreement shall be resolved in accordance with the laws of the State of California (the 'Applicable State'), without regard to the conflict of laws provisions thereof. Any legal action or proceeding relating to this Agreement shall be brought exclusively in the state or federal courts located in the Applicable State, and each party consents to the jurisdiction thereof; provided, however, that the Company may seek injunctive relief and specific performance in any court of competent jurisdiction… I acknowledge and agree that any breach or threatened breach of this Agreement will cause irreparable harm to the Company for which damages would not be an adequate remedy, and, therefore, the Company is entitled to injunctive relief with respect thereto (without the necessity of posting any bond) in addition to any other remedies.

(Fanning Decl., Ex. B, EIPIA §
8.) Further, the actual arbitration agreement provides that:

[N]othing in
this arbitration provision restricts: (w) your right under the FAA to elect to pursue claims for sexual harassment and/or sexual assault in court, on an individual, class action or collective action basis; (x) your right, if any, to file in court a nonindividual, representative action under PAGA, if you have standing to pursue such an action and it is permitted under applicable law; (y) your right to file administrative claims you may bring before any government agency where, as a matter of law, the parties may not restrict the employee's ability to file such claims (including, but not limited to, the National Labor Relations Board, the Equal Employment Opportunity Commission and the Department of Labor, and before state agencies in connection with claims for workers' compensation, unemployment and/or disability insurance benefits); or (z) a party'' right to seek injunctive or other provisional relief in court, where permitted by applicable law, including, but not limited to, in connection with the misappropriation of a party's private, proprietary, confidential or trade secret information.

(Fanning Decl., Ex. B, § 10.)
Plaintiff contends that "[h]ere, Plaintiff's likely claims, such as Labor Code violations, are all funneled into arbitration. Charlie Health, Inc.'s likely claims, such as competitive activity, misappropriation of proprietary

information, breach of confidentiality, and solicitation of employees, arise under the EIPIA and are routed to 'the state or federal courts located in [California],' with injunctive relief guaranteed by contract and the bond requirement waived in advance." (Opp., 7:12-16.) Plaintiff further contends that "[h]ere the carve-out is neither implicit nor ambiguous: Section 10 expressly excludes EIPIA claims and routes them to court, where the EIPIA guarantees Charlie Health, Inc. an injunction 'as a matter of right' and 'without the necessity of posting any bond.' What required close scrutiny in Fuentes is beyond dispute here. Defendants may argue that some theoretical claim of theirs would still be arbitrable, but Ramirez forecloses that argument: the inquiry is whether the '[a]greement, as a whole, tends to exempt claims likely to be made by [the employer] while directing [the employee's] likely claims into arbitration,' and the 'remote possibility' that an employer may still have to arbitrate some claims does not negate the unconscionability." (Opp., 8:10-18.)

The Court finds that the case here parallels the outcome and discussion of unconscionability in Silva, supra. The carve-outs in favor of Defendants in EIPIA and the arbitration provision favor claims that Defendants would bring against Plaintiff. Additionally, the EIPIA provides for injunctive and court relief for Defendants, without the need to post a bond, and affirmatively states that if Plaintiff even attempts to breach the EIPIA, she will cause Defendants "irreparable harm." Accordingly, the arbitration provision has a significant amount of substantive unconscionability.

Because both procedural and substantive unconscionability are present, Plaintiff presents a valid defense to compelling arbitration.

D. Severability

If a contract has an unconscionable portion, "a court should ask whether 'the central purpose of the contract is tainted with illegality.' [Citation.] If so, the contract cannot be cured, and the court should refuse to enforce it. If that is not the case, the court should go on to ask first, whether the contract's unconscionability can be cured purely through severance or restriction of its terms, or whether reformation by augmentation is necessary." ((Ramirez v. Charter Communications, Inc. (2024) 16 Cal.5th 478, 516.)

Plaintiff contends that the arbitration provision cannot be salvaged by reading it apart from EIPIA. However, Defendants contend that "the Arbitration Agreement contains a valid severability clause. See Fanning Decl., Ex. B. ('The provisions of this offer letter are severable, and if any part of it is found to be invalid or unenforceable, including, but not limited to, the arbitration provision above, the other parts shall remain fully valid and enforceable.') Accordingly, even if this Court finds that some small amount of the Agreement is substantively unconscionable, the agreement must be made enforceable by severing the offending language." (Reply, 9:1-6.) Because the Court finds that portions of EIPIA are unconscionable, in addition to the language of the arbitration agreement that favors causes of action Defendants would bring against Plaintiff, i.e., misappropriation of a party's private, proprietary, confidential or trade secret information, severability is not feasible. As Plaintiff points out, the Court of Appeal in Silva, supra, affirmed a refusal to sever because there were "at a minimum, two invalid provisions and because, when the two agreements are construed together, the unconscionability of those provisions permeates and pervades the entire Arbitration Agreement, as they operate to shunt employees to an arbitral forum for the adjudication of the claims they are most likely to bring while preserving a judicial forum for [Defendant] for the claims it is most likely to bring." (Id. at p. 1331.) Accordingly, the Court declines to sever the arbitration agreement.

Conclusion

Based on the foregoing, Defendants' motion to compel arbitration is DENIED. Defendants are ordered to respond to the Complaint within 20 days of the date of this Order.

Defendants are ordered to provide notice of this Order.

DATED: August 6, 2026

____

Hon. Teresa A. Beaudet

Judge, Los Angeles Superior Court